



IS 4108- IS Strategies

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LECTURE 02- AN OVERVIEW OF STRATEGIC MANAGEMENT

What is meant by a Strategy?

***A strategy* is an integrated set of choices which positions the firm in its industry so as to create sustainable advantage relative to competition and superior financial returns**

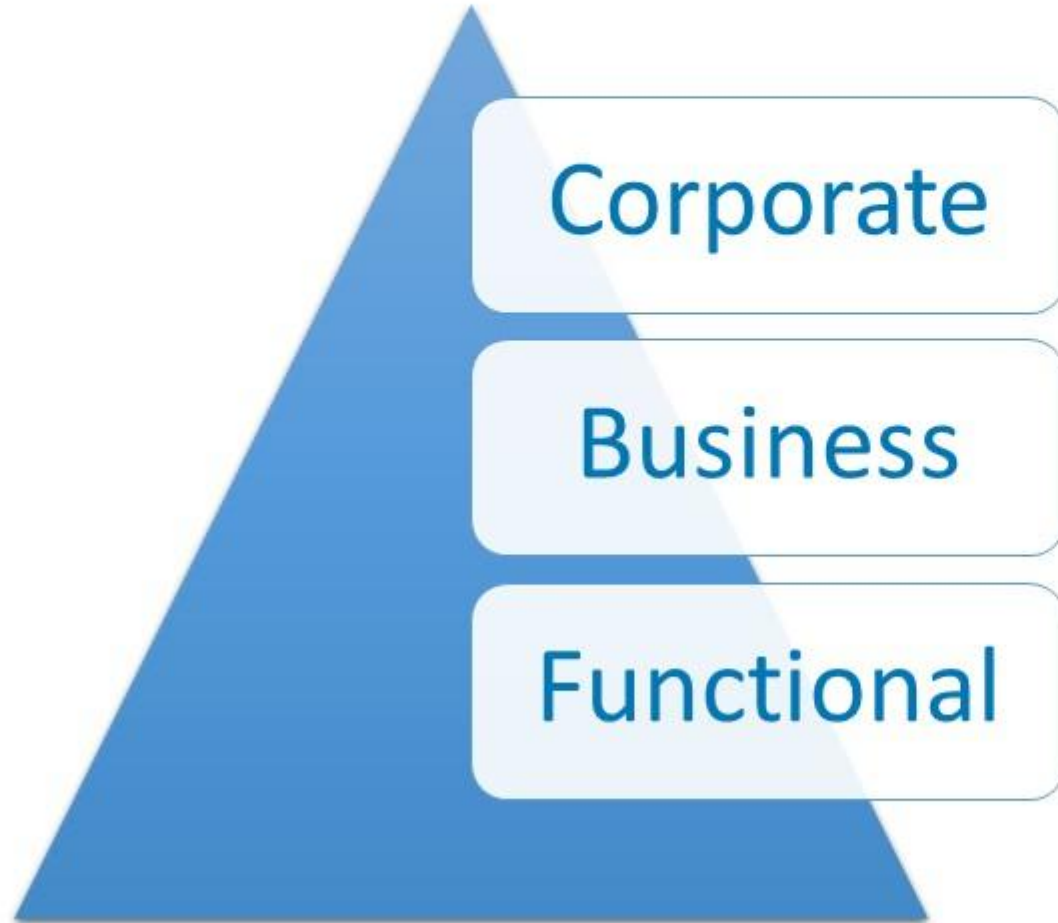


What is meant by a Strategy?

Strategy refers to a long-term plan designed to achieve competitive advantage and organizational goals.



The Three Levels of Strategy



☐ Corporate Strategy

- ✓ Growth
- ✓ Stability
- ✓ Renewal

☐ Business Strategy

- ✓ Cost leadership
- ✓ Differentiation
- ✓ Market focus

☐ Functional Strategy

Corporate-Level Strategy

Concerned with overall direction of the organization.

Ex:

- Entering new markets
- Diversification
- Mergers and acquisitions

Business-Level Strategy

How a company competes in a specific market.

Common approaches

- Cost leadership
- Differentiation
- Focus strategy



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Functional-Level Strategy

Strategies within departments such as;

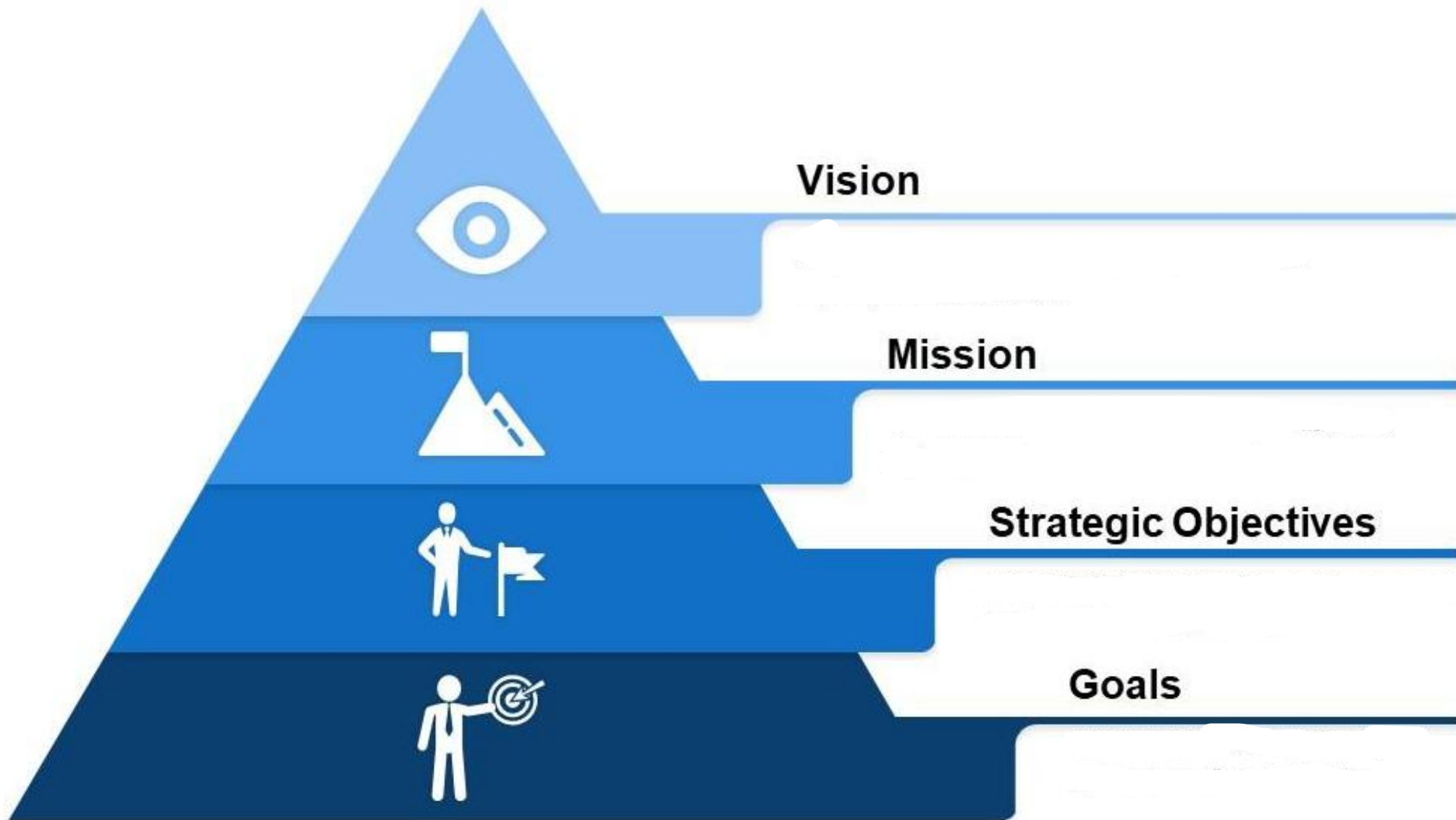
- Marketing
- Sales
- HR
- IT
- Operations



Strategic Management

Strategic management is the continuous process of;

- Analyzing the internal and external environment
- Formulating strategies
- Implementing strategies
- Evaluating and controlling performance
- It ensures that an organization survives and grows in a competitive environment.



Vision

Describes the long-term aspiration of the organization.

Ex:

“To become a global leader in innovative IT solutions.”

Mission

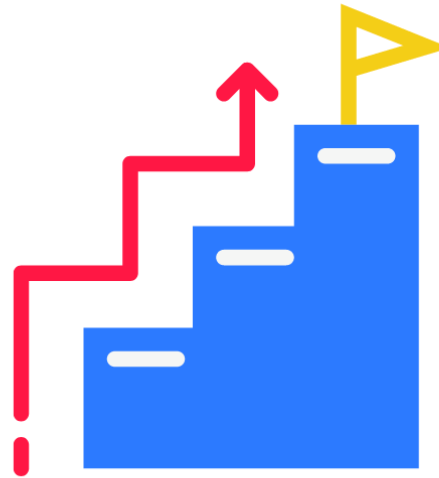
Explains the organization's purpose.

Ex:

“To deliver reliable and scalable software solutions to businesses worldwide.”

Goals and Objectives

- Goals- Broad long-term targets
- Objectives- Specific, measurable outcomes



Goals
are achievable, long-term,
and broad



Objectives are specific and
measurable actions to
achieve the overall goal

Goals and Objectives

Goal- Increase revenue by the end of the year

- **Objective-** Achieve a \$100,000 increase in sales revenue by December 31st.

Goal- Improve company brand awareness

- **Objective-** Increase social media engagement by 15% through targeted video campaigns by Q2.

Goals and Objectives

S	Specific	Make your goal specific and narrow for more effective planning	
M	Measurable	Make sure your goal and progress are measurable	
A	Achievable	Make sure you can reasonably accomplish your goal within a certain time frame	
R	Relevant	Your goal should align with your values and long-term objectives	
T	Time-based	Set a realistic but ambitious end date to clarify task prioritization and increase motivation	

Strategic Management

Steps?